

Association of British Insurers

Statement of Best Practice

for

Critical Illness Cover

August 2004

Introduction

This Statement of Best Practice for Critical Illness Cover aims to help consumers understand and compare critical illness policies by standardising the following:

- The way Critical Illness Cover is described to potential buyers at the point of purchase
- The use of Generic Terms
- The use of Model Wordings for Core and Additional Conditions and Model Exclusions

This latest version of the Statement of Best Practice for Critical Illness Cover has been produced as a result of an Intermediate Review – see section 7. It takes account of new regulations from the Financial Services Authority (FSA) which are due to take effect from 14 January 2005. From this date, this Statement replaces the previous version published in May 2002.

The main changes to the previous Statement are:

- The way Critical Illness Cover is described to potential buyers at the point of purchase set out in Section 2 below.
- Clarifies which parts of this Statement apply to group critical illness cover.
- The Appendices now include an example of how critical illness cover might be presented in a Policy Summary.

This Statement of Best Practice is mandated for members of the Association of British Insurers (ABI) offering critical illness cover. It replaces the earlier Statement of Best Practice for Critical Illness Cover dated May 2002.

Insurers should adopt the changes as soon as is practical but must do so by no later than 14 January 2005.

The Association of British Insurers is the trade association for insurance companies in the United Kingdom. We represent over 400 insurance companies, which provide over 96% of the insurance business in the UK. We represent insurance companies to the Government, and to regulatory and other agencies, and provide a wide range of services to our members.

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1 General Principles

- 1.1 This Statement of Best Practice applies to critical illness cover offered by insurers who are members of the ABI and is based on the following principles. Critical illness cover means cover which pays out on meeting the definition of a listed critical illness where the list of illnesses includes cancer, heart attack and stroke.

Clarity

- 1.2 Wherever possible to aid consumer understanding, "Plain English" should always be used in product information, provided that this does not dilute or conflict with the meaning.
- 1.3 The heading (for Core and Additional Conditions and Model Exclusions) forms part of the model wording. If an insurer includes an optional age limit in a particular condition, this should appear in the heading of the condition.
- 1.4 All model wordings should be as robust as possible in differentiating between what is, and is not, covered to:
- 1.4.1 Create a clear expectation of the scope and limitations of the cover.
 - 1.4.2 Allow valid claims to be paid promptly.
 - 1.4.3 Minimise the number of disputed claims to avoid disappointment.
- 1.5 All conditions should be listed in alphabetical order (within sections as appropriate).

Generic Terminology

- 1.6 For clarity, the generic terminology should be used in all cases where the appropriate generic terms apply. Other terms to describe these features should not be used.
- 1.7 The generic terms are described only as far as required to establish the context. Insurers may use these descriptions as definitions if they wish. Alternatively, insurers may use their own definitions (provided they suit the context) or may use the terms without defining them.

Product Information

- 1.8 The type of document used to describe critical illness cover may depend on the underlying product type, for example, whether it is an investment or a pure protection product for the purposes of regulation. In this statement, we refer to these documents generically as the 'product information'. This could be, for example, a Policy Summary document carrying the FSA 'Key Facts' logo.
- 1.9 The product information requirements set out in this document are in addition to (and, in the event of a conflict, are overruled by) any other regulatory, legal, 3rd Life Directive and product specific requirements for the way products are described.
- 1.10 The product information requirements in the Statement are intended to ensure that critical illness cover is described in the same way, regardless of the underlying product type. This is intended to allow consumers to compare the critical illness cover of different insurers, accepting that the underlying products may be different.
- 1.11 The product information requirements apply to all individual long-term products featuring critical illness cover. This includes (but is not limited to) the following product types where critical illness cover is included as a standard feature or as an optional benefit:
- 1.11.1 Endowment
 - 1.11.2 Whole of Life
 - 1.11.3 Term Assurance
 - 1.11.4 Stand Alone Critical Illness Cover

- 1.12 Insurers should give the product information to enquirers and potential customers (via intermediaries as appropriate) at the earliest opportunity to allow them to make meaningful product comparisons before purchase.
- 1.13 The format is based on the principle that critical illness cover is not usually a product in its own right, but is more frequently a benefit added to an underlying product type.

Group Critical Illness Cover

- 1.14 Insurers of group critical illness cover should follow the provisions relating to Generic Terminology and model wordings for Core and Additional Conditions and Model Exclusions. The other provisions of this Statement do not apply.

Implementation

- 1.15 The provisions apply to new policies effected on or after the implementation date adopted by the insurer. An increment or increase to an existing policy effected after that date as a new policy may be excluded if it mirrors the original contract.
- 1.16 Insurers do not have to apply revised definitions to existing in-force policies.

Categorising Model Wordings

- 1.17 Model wordings for medical conditions, surgical procedures, disabilities and policy exclusions are divided into "Core Conditions", "Additional Conditions" and "Model Exclusions". The constituents will be determined at each full review (and subsequently published) based on the following:
- 1.17.1 "Core Conditions" are the conditions that, together, account for the majority of critical illness claims. They will normally be any existing Core Conditions and additionally those included on at least 95% of policies on the market at the time of the review, and account for at least 1% of male or female critical illness industry claims.
- 1.17.2 "Additional Conditions" are other (non-core) conditions for which there is a model wording available. They will normally be those conditions included in the policy of at least 75% of critical illness cover policies on the market at the time of the review.
- 1.17.3 "Model Exclusions" are the policy exclusions and limitations where a model wording is available. These will normally be any existing Model Exclusions and additionally any exclusions and limitations included in the policy of at least 50% of critical illness cover policies on the market at the time of the review.

Basis of Standard for New Model Wordings

- 1.18 All model wordings are on the basis of an "appropriate minimum standard". Insurers are free to offer additional cover by including other conditions or by offering additional cover as described in Principle 1.24 below.
- 1.19 Where alternative wordings are used in the market to describe different levels of cover, the model wording will normally reflect the most robust definition, provided that this is appropriate as a minimum standard (i.e. offers meaningful cover).
- 1.20 Where several wordings are used in the market to describe essentially the same level of cover, the model wording will be based on the most robust recommended wording of the leading critical illness cover reassurers (as a starting point).

Overlaps in Conditions Covered

- 1.21 Where some insurers combine several conditions under one heading, others choose to offer the conditions under several headings, the model wordings will normally be based on the individual (as opposed to combined) definitions. Insurers who choose to combine the wordings into a single definition would not be deemed to be using the model wording as the heading forms part of the model wording.

- 1.22 No model wording will be produced for conditions that wholly overlap with another Core or Additional Condition (e.g. no Leukaemia model wording will be available as this is wholly covered under Cancer).

Use of Model Wordings

- 1.23 Insurers are free to omit any condition or exclusion and may include any other conditions or exclusions as they see fit. While insurers are free to decide on the conditions and exclusions applicable to their products, where a model wording is available, it should be used.
- 1.24 Insurers will be deemed to be using the model wording (for a condition or exclusion) where it is modified to provide at least equivalent cover in the following ways:
- 1.24.1 By using the model wording and showing separately the additional cover offered.
- 1.24.2 By omitting a specific limitation or exclusion in the model wording for any condition or exclusion, while leaving the remaining words unchanged. For example, this could be by omitting the words “All forms of lymphoma in the presence of any Human Immunodeficiency Virus.” from the model wording of Cancer or by omitting “off-piste skiing” from the Hazardous sports & pastimes exclusion.
- 1.24.3 By using or omitting specified optional wording (i.e. for ‘loss of limbs’ or age limits).
- 1.25 Insurers should set out any additional specific claim requirements in their policy, for example in a general heading along the following lines:

Example Policy Condition

All diagnoses and medical opinions must be given by a medical specialist who:

- is a Consultant at a hospital in the UK;
- is acceptable to our Chief Medical Officer; and
- is a specialist in an area of medicine appropriate to the cause of the claim.

Reviews of Existing Model Wordings

- 1.26 No changes should be recommended to any existing agreed wordings without both the following:
- 1.26.1 A clear issue that has resulted (or is expected to result) in industry-wide problems for customers and/or insurers.
- 1.26.2 Agreement (with a clear rationale) that the proposed wording change will address the issue.

2 How Critical Illness Cover Should Be Described

- 2.1 The type of document used to describe critical illness cover may depend on the underlying product type, for example, whether it is an investment or a pure protection product for the purposes of regulation. In this Statement we refer to these documents generically as the 'product information'. This could be, for example, a Policy Summary document carrying the FSA 'Key Facts' logo.
- 2.2 Potential customers should receive the product information at the earliest opportunity to allow them to compare products before purchase.
- 2.3 In the following guidelines and examples, the use of [*square brackets in italics*] indicates that the wording is illustrative and may be amended from that shown. Otherwise, the actual wording shown should be used. Insurers are free to adopt any layout for their product information documents to suit their corporate style (eg 2 columns).

General Information about Critical Illness Cover

- 2.4 Wherever critical illness is described, if benefits are payable only once, on death or earlier critical illness, the wording should make it clear that only one payment is made.

Example: [*The policy pays out a lump sum if, during the term of the policy you choose, you die or you meet the definition of any of the critical illnesses listed on page x below. The policy only pays out this main benefit once and then you stop paying your premiums and the policy ends.*]

- 2.5 Any obligations on the customer that are required to maintain the cover unchanged should be stated, together with the consequences of not meeting the obligation. For example:

- 2.5.1 To answer all questions on the application form correctly to the best of the applicant's knowledge and belief

Example: [*You must answer all the questions on the application form correctly to the best of your knowledge and belief. If you do not do this, it could mean your plan will not pay out.*]

- 2.5.2 To tell the insurer about health and occupation changes that happen between signing the application form and the policy starting.

Example: [*You must tell us if there is any change to your personal health, family history, occupation or residence, or if you take up any hazardous leisure activities, between signing the application form and when your plan starts. If you do not do this, it could mean your plan will not pay out.*]

- 2.5.3 To maintain premiums over the term of the policy. For regular premium contracts this should include a statement about the duration and the basis of premiums.

Example: [*During the period of cover you choose, you pay a monthly premium that we can change.*]

- 2.5.4 To pay a higher premium if needed where premiums can change. There should be a specific warning that premiums could increase (for example following a policy review) together with the reasons for the potential increase (such as age, claims experience, investment performance, charges, lifestyle changes as appropriate).

Example: [*If you choose life and critical illness cover, we can increase (or reduce) your monthly premium by any amount after each 5 yearly review. We will only increase your premium if our past claims experience and/or our expectation of future claims shows that we should apply a general premium increase. We will tell you if we do this. You can find full details of how we will review your plan and how we would apply any premium increase in the policy. You can ask us for a copy of this.*]

- 2.5.5 To tell the insurer about any changes in personal circumstances (for example, changes in smoking status, residence or occupation).

Examples:

[*You must tell us if {you / an insured person} {change your / changes their} job. This could change your cover and/or your premium.*]

[*You must tell us if {you start / an insured person starts} living abroad. This could change your cover.*]

2.6 There should be prominent warnings that the policy will not pay out if certain circumstances apply:

2.6.1 If the cause of a claim is related to an exclusion

Example: *[We will not pay out in the circumstances described under the heading '{exclusions' / 'When will the policy not pay out'} on page x.]*

2.6.2 If premiums stop

Example: *[If you stop paying your monthly premium, your cover will end x days after the due date of the last premium you paid.]*

Description of Critical Illness Cover

2.7 In the product information, insurers should show what conditions are included in the critical illness cover using the relevant sub-sections below as appropriate (conditions covered, optional conditions, child cover and further information). The following guidelines apply:

2.7.1 The opening question should refer to what is included in "critical illness" or "critical illness cover".

2.7.2 The main introduction must be unambiguous that the list of conditions is an exhaustive list. Phrases such as "We cover the following:" and "The following are included:" should not be used. "The complete list of conditions we cover is as follows." or "We cover only the following conditions." would be appropriate.

2.7.3 Insurers should list all the conditions covered in alphabetical order.

2.7.4 If an insurer includes age limits in certain conditions, these should be shown in the heading of the condition.

2.7.5 If insurers offer different levels of cover or certain extra conditions at extra cost, these should be shown separately.

2.7.6 Insurers may describe child critical illness cover in this section, or elsewhere, if applicable.

2.7.7 The "further details" should include where the full definitions and claims requirements (such as medical evidence) may be found.

2.7.8 The answers should be in the format shown below and following the above guidelines.

[Which critical illnesses are covered?]

- *[The complete list of conditions we cover is shown below.]*
 - *[Alzheimer's disease before age 60*
 - *aorta graft surgery*
 - *benign brain tumour*
 - *blindness]*
 - *cancer*
 - *[coma*
 - *coronary artery by-pass surgery*
 - *deafness]*
 - *heart attack*
 - *[heart valve replacement or repair*
 - *HIV from a blood transfusion*
 - *kidney failure*
 - *loss of limbs*
 - *loss of speech*
 - *major organ transplant*
 - *motor neurone disease before age 60*
 - *multiple sclerosis*
 - *paralysis / paraplegia*
 - *Parkinson's disease before age 60]*
 - *stroke*
 - *[terminal illness*
 - *third degree burns*
 - *total permanent disability before age 60]*
- **Please remember that the heading of each critical illness is only a guide to what is covered.** For example, some types of cancer are not covered. Further details of how we will consider your claim, including the full definitions we will use and the evidence we will need, are given in the *[definitions guide and policy document.]* You can ask us for *[[{a} {sample} {copy / copies} of {this / these}]]*.
- *[You may also apply to be covered for {optional benefits}. Your personal illustration shows if this {optional benefit} is included and, if so, the cost.]*

Description of Exclusions and Limitations to Critical Illness Cover

- 2.8 In a section of the product information, insurers should give a summary of the exclusions and limitations. This should include whichever of the following are applicable in the format shown below:
- 2.8.1 The claims notification period if exceptionally there is a specified fixed period after which a claim will not be paid (see ABI Statement of Long-Term Insurance Practice).
 - 2.8.2 The survival period (normally for stand-alone critical illness cover).
 - 2.8.3 The headings of any model exclusions used.
 - 2.8.4 Any other limitations or exclusions which could prevent the policy paying out.
 - 2.8.5 A statement regarding individual exclusions applied as part of the underwriting process.
 - 2.8.6 Any restrictions that apply to child cover.
 - 2.8.7 Details of where further information may be found.
- 2.9 The product information should give details of all exclusions and limitations. For model exclusions, only the headings need be shown with a reference to where the full wording may be found (as with the conditions covered).
- 2.10 Exclusions and limitations should be shown with equal prominence to the description of the critical illness cover. Exclusions for other benefits (e.g. life cover or waiver of premium benefit) may be included in the same section.

[When will the policy not pay out?]

[We will not pay a critical illness claim in the following circumstances.]

- *[If the insured person dies within x days of the condition being diagnosed.]*
- *[If your claim arises within three months of reinstating a plan that has previously ended.]*
- *[If the cause of the claim results from aviation, criminal acts, drug abuse, failure to follow medical advice, hazardous sports and pastimes, HIV/AIDS, self-inflicted injury or war and civil commotion.]*
- *[If the claim is for a total permanent disability from a cause that arose while the insured person was living abroad.]*
- *[If the claim is for a total permanent disability and you did not tell us about the insured person changing their job.]*
- *[If the claim is for a child diagnosed with a critical illness and:
 - the condition was present at birth; or
 - the symptoms first arose before the child was covered.]*

Full details of what is covered, and any limits to the cover, are given in the *[definitions guide and policy document]*. You can ask us for *[{a} {sample} {copy / copies} of {this / these}]*.

We may *[also]* apply specific exclusions when we accept your policy. These will be shown *[in your acceptance letter and policy schedule.]*

Further Information

- 2.11 The product information should inform customers of the availability of the ABI Guide to Critical Illness Cover, which may be obtained from the insurer or the ABI.
- 2.12 Insurers should clearly set out their complaints procedure and provide contact details for the Financial Ombudsman Service (FOS).
- 2.13 Insurers should state that their product information complies with this Statement of Best Practice.

Where a specific premium is shown

- 2.14 Where a specific premium is shown, the basis of the premium should also be shown. This should make it clear to potential customers whether the premium is level or increasing, guaranteed or reviewable (and if so, when the reviews take place). This information should be shown prominently.

3 Generic Terms

- 3.1 When generic terms are used they should have the meanings shown and other terms should not be used in their place. This is to ensure that the terms always have the same meaning.
- 3.2 Not all the terms will apply to the critical illness cover contained in all products. Insurers should only use those terms that are applicable.
- 3.3 The Generic Terms and associated descriptions as set out below are intended to establish the context in which each term should be used. Insurers are free to use them as definitions, or as part definitions, or may use alternative definitions, provided these suit the context.
- 3.4 The terms “critical illness cover” and “critical illness” apply to the type of cover. Insurers are free to use marketing names for their products (eg Living Plan etc) and cover (eg Living Benefit), provided that the cover is described either as “critical illness cover” or by using the words “critical illness”.

The Generic Terms

- 3.5 **Additional conditions**
The conditions, apart from the core conditions and total permanent disability, which model wordings are available for.
- 3.6 **Assessment period**
The period during which we will assess a condition before we make a decision on whether or not to accept a claim. The assessment period will not normally be longer than 12 months, as long as we have all the evidence we need. Also, the assessment period should only apply to claims for the conditions which must be permanent for cover to apply.
- 3.7 **Core conditions**
The core conditions are cancer, coronary artery by-pass surgery, heart attack, kidney failure, major organ transplant, multiple sclerosis and stroke.
- 3.8 **Critical Illness Cover**
Cover which pays out on a diagnosis of a listed critical illness. The list of illnesses must include cancer, heart attack and stroke.
- 3.9 **Deferred period**
The period during which an insured person must be ill or disabled before we will pay any benefit.
- 3.10 **Irreversible**
Cannot be cured by medical treatment and/or surgical procedures used by the National Health Service in the UK at the time of the claim.
- 3.11 **Model exclusions**
The exclusions to cover for which model wordings are available.
- 3.12 **Permanent**
Expected to last throughout the insured person's life, irrespective of when the cover ends or the insured person retires.
- 3.13 **Survival period**
The period after an insured event covered by the plan that the insured person has to survive before we will accept a claim. A survival period normally applies to plans providing critical illness cover only or where the level of death benefit is not the same as the benefit due for a critical illness.

4 Core & Additional Conditions

- 4.1 Insurers are free to decide on the conditions applicable to their products.
- 4.2 Insurers may offer additional cover whilst still being deemed to use the model wordings, subject to doing so as set out above (see General Principles).
- 4.3 The heading forms part of the model wording. However, insurers may choose to include a qualifying phrase in a heading, providing this is included after the heading shown in the model wording so that the condition retains its alphabetical place in any listing. For example, this could be by replacing the heading “cancer” with the revised heading “cancer (most malignant types)”.
- 4.4 The use of [*square brackets and italics*] means that the wording shown may vary as follows:
- 4.4.1 The age limits for motor neurone disease and Parkinson’s disease are optional. However, if an age limit is included in the definition, it should also be included in the heading (as shown in the policy, product information and other material).
- 4.4.2 Insurers may choose whether to use “elbow / knee” or “ankle / wrist” for loss of limbs.
- 4.4.3 The AIDS exclusion shown in the model wording of terminal illness should not be used in the case of accelerated cover.

The Core Conditions

4.5 Cancer

Any malignant tumour characterised by the uncontrolled growth and spread of malignant cells and invasion of tissue. The term cancer includes leukaemia and Hodgkin’s disease but the following are excluded:

- All tumours which are histologically described as pre-malignant, as non-invasive or as cancer in situ.
- All tumours of the prostate unless histologically classified as having a Gleason score greater than 6 or having progressed to at least TNM classification T2N0M0.
- All forms of lymphoma in the presence of any Human Immunodeficiency Virus.
- Kaposi’s sarcoma in the presence of any Human Immunodeficiency Virus.
- Any skin cancer other than invasive malignant melanoma.

4.6 Coronary artery by-pass surgery

The undergoing of open heart surgery on the advice of a Consultant Cardiologist to correct narrowing or blockage of one or more coronary arteries with by-pass grafts but excluding balloon angioplasty, laser relief or any other procedures.

4.7 Heart attack

The death of a portion of heart muscle, due to inadequate blood supply, that has resulted in all of the following evidence of acute myocardial infarction:

- typical chest pain;
- new characteristic electrocardiographic changes;
- the characteristic rise of cardiac enzymes, troponins or other biochemical markers;

where all of the above shows a definite acute myocardial infarction. Other acute coronary syndromes, including but not limited to angina, are not covered under this definition.

4.8 Kidney failure

End stage renal failure presenting as chronic irreversible failure of both kidneys to function, as a result of which either regular renal dialysis or renal transplant is initiated.

4.9 Major organ transplant

The actual undergoing as a recipient of, or inclusion on an official UK waiting list for, a transplant of a heart, liver, lung, pancreas or bone marrow.

- 4.10 Multiple sclerosis
- A definite diagnosis by a Consultant Neurologist of Multiple Sclerosis which satisfies all of the following criteria:
- There must be current impairment of motor or sensory function, which must have persisted for a continuous period of at least six months.
 - The diagnosis must be confirmed by diagnostic techniques current at the time of the claim.
- 4.11 Stroke
- A cerebrovascular incident resulting in permanent neurological damage. Transient Ischaemic Attacks are specifically excluded.
- The Additional Conditions**
- 4.12 Aorta graft surgery
- Undergoing surgery for disease of the aorta needing excision and surgical replacement of a portion of the diseased aorta with a graft. For this definition, aorta means the thoracic and abdominal aorta but not its branches.
- 4.13 Benign brain tumour
- A non-malignant tumour in the brain resulting in permanent deficit to the neurological system. Tumours or lesions in the pituitary gland are not covered.
- 4.14 Blindness
- Total permanent and irreversible loss of all sight in both eyes.
- 4.15 Coma
- A state of unconsciousness with no reaction to external stimuli or internal needs, persisting continuously with the use of life support systems for a period of at least 96 hours and resulting in permanent neurological deficit. Coma secondary to alcohol or drug misuse is not covered.
- 4.16 Deafness
- Total permanent and irreversible loss of all hearing in both ears.
- 4.17 Heart valve replacement or repair
- Undergoing open heart surgery from medical necessity to replace or repair one or more heart valves.
- 4.18 Loss of limbs
- The permanent physical severance of two or more limbs from above the *[elbow/wrist]* or *[knee/ankle]* joint.
- 4.19 Loss of speech
- Total permanent and irreversible loss of the ability to speak as a result of physical injury or disease.
- 4.20 Motor neurone disease [before age x]
- Confirmation by a Consultant Neurologist of a definite diagnosis of motor neurone disease *[before age x]*.
- 4.21 Paralysis / paraplegia
- Total irreversible loss of muscle function or sensation to the whole of any two limbs as a result of injury or disease. The disability must be permanent and supported by appropriate neurological evidence.
- 4.22 Parkinson's disease [before age x]
- Confirmation by a Consultant Neurologist of a definite diagnosis of Parkinson's disease *[before age x]*. Parkinson's disease secondary to alcohol or drug misuse is not covered.

4.23 Terminal illness

Advanced or rapidly progressing incurable illness where, in the opinion of an attending Consultant and our Chief Medical Officer, the life expectancy is no greater than 12 months. *[AIDS is specifically excluded and not covered under this definition.]*

4.24 Third degree burns

Third degree burns covering at least 20% of the body surface area.

5 Model Exclusions

- 5.1 Insurers are free to omit any of the model exclusions and may include additional exclusions.
- 5.2 Insurers may offer additional cover whilst still being deemed to use the model wordings, subject to doing so as set out above (see General Principles).
- 5.3 As with core and additional conditions, the headings form part of the model wording.
- 5.4 All exclusions and limitations (not only model exclusions) should be contained in one section in the policy (and product information as set out above).
- 5.5 Insurers may define European Union as a list of EU Countries as at the start of the contract.
- 5.6 Insurers should state which exclusions apply to which conditions in their policy (and other benefits as appropriate, e.g. waiver of premium benefit) and should use an introductory policy wording to suit their individual policy wording style (see the example below).

Example introductory wording for model exclusions

"We will not pay a critical illness claim if it is caused directly or indirectly from any of the following:"

The model exclusions

- 5.7 Aviation
Taking part in any flying activity, other than as a passenger in a commercially licensed aircraft.
- 5.8 Criminal acts
Taking part in a criminal act.
- 5.9 Drug abuse
Alcohol or solvent abuse, or the taking of drugs except under the direction of a registered medical practitioner.
- 5.10 Failure to follow medical advice
Unreasonable failure to seek or follow medical advice.
- 5.11 Hazardous sports and pastimes
Taking part in (or practising for) boxing, caving, climbing, horse-racing, jet skiing, martial arts, mountaineering, off-piste skiing, pot-holing, power-boat racing, under-water diving, yacht racing or any race, trial or timed motor sport.
- 5.12 HIV/AIDS
Infection with Human Immunodeficiency Virus (HIV) or conditions due to any Acquired Immune Deficiency Syndrome (AIDS).
- 5.13 Living abroad
Living outside of the European Union for more than 13 consecutive weeks in any 12 months.
- 5.14 Self-inflicted injury
Intentional self-inflicted injury.
- 5.15 War and civil commotion
War, invasion, hostilities (whether war is declared or not), civil war, rebellion, revolution or taking part in a riot or civil commotion.

6 Total Permanent Disability

- 6.1 There are a number of definitions used for Total Permanent Disability. For example, “total disability” may be measured by assessing the person’s ability to perform certain of the following:
- 6.1.1 The insured person’s “Own Occupation”.
 - 6.1.2 “Suited Occupations”.
 - 6.1.3 “Any Occupation”.
 - 6.1.4 A number of specified activities.

Change of Occupation

- 6.2 Depending on whether the definition used relies on the occupation of the person covered, this occupation may be disclosed and underwritten at the outset of the policy. Where this applies, subsequent changes of occupation may vary the initial underwriting assessment. Insurers normally deal with this issue in one or a combination of the following ways:
- 6.2.1 Notification is required. The new occupation is re-underwritten and the terms of the contract are adjusted if necessary. The customer’s ability to perform an occupation (or one that is suited, depending on the definition) is judged against the occupation most recently notified (if all changes have been notified as required).
 - 6.2.2 Notification is not required. The customer’s ability to perform an occupation (or one that is suited, depending on the definition) is judged against the occupation being followed immediately before the claim. In this case, the insurer accepts the risk of changes in occupation.
 - 6.2.3 Alternatively, the insurer judges the claim against the occupation declared in the application, regardless of subsequent changes.
- 6.3 “Occupation” generally means a trade, profession or type of work undertaken for profit or pay. It is not a specific job with any particular employer and is independent of location.

Guidelines

- 6.4 Insurers are free to use any one or more definitions of disability they wish, including but not limited to those shown in 6.1 above.
- 6.5 Insurers should make it clear in their product information which procedure is adopted in relation to change of occupation together with the potential consequences.
- 6.6 If insurers require notification of changes in occupation, they should periodically remind the policyholder.

7 Review Process

- 7.1 This document has been prepared by following the normal process that is proposed for future reviews, following the principles above.
- 7.2 Industry-wide provisions, such as the product information format set out in this document, and model wordings based on market practice, legislation and medical science should be reviewed regularly to ensure that they remain up to date. The ABI will therefore make provision for reviews as follows.

Types of Review

- 7.3 There will be 2 types of review: Full Reviews (normally every 3 years) and Intermediate Reviews. The ABI Critical Illness Working Party will carry out all Full and Intermediate Reviews.

Full Reviews

- 7.4 Full Reviews will be carried out every 3 years unless the ABI Critical Illness Working Party decides not to carry out the Full Review in which case it will be deferred for up to 1 year.
- 7.5 At a Full Review, the scope will be to review the product information format and all model wordings in line with the principles set out above. This will take into account changes in medical science, relevant "events" (such as changes in legislation since the last Full or Intermediate Review), experience, available research, and current market practice. The process should use the expertise of Critical Illness Working Party members and appropriate liaisons.
- 7.6 At a Full Review, the recommendations will include a recommended process for implementing any changes and the review process itself should be reviewed and any changes put forward for the next review.

Intermediate Reviews

- 7.7 An Intermediate Review may be held where a compelling issue is raised that is, for example, of a legal or regulatory nature. Less compelling issues will normally be dealt with at a Full Review.
- 7.8 The scope of Intermediate Reviews will be limited to the agreed impact of the issue raised and recommendations for implementing any changes. Other issues will be outside the scope of the Intermediate Review.
- 7.9 The normal process for establishing an Intermediate Review will be:
 - 7.9.1 An issue is raised with the ABI Critical Illness Working Party.
 - 7.9.2 The Working Party decides on whether to carry out the Intermediate Review - otherwise the issue is recorded for the next Full Review.



about our Term Assurance Plan

ABC

Life Assurance Company Limited

ABC Life Assurance Company Limited is registered in England No 01234567. The company is authorised and regulated by the Financial Services Authority and has its registered office at Our Road, Any Town, County AB1 2CD.

What is a Term Assurance Plan?

A Term Assurance Plan is a long term insurance policy which pays out a tax-free lump sum if you die or if you meet the definition of a listed critical illness, depending on the cover you choose. It can be tailored to meet your needs by allowing you to choose:

- The level of cover you need - the amount the plan pays out after a valid claim
- How long the cover lasts – the period of cover can be from 5 to 25 years provided the cover ends before age 70
- The type of cover you need. Your plan can pay out on one of the following:
 - **Death only** – pays out if an insured person dies during the period of cover; or
 - **Critical illness only** – pays out if an insured person meets the definition of a specified critical illness during the period of cover and then survives for at least 28 days; or
 - **Death or earlier critical illness** – pays out the main benefit once if an insured person dies or meets the definition of a specified critical illness during the period of cover.

The full list of critical illnesses we cover is shown on page 2 overleaf. There are also some circumstances when the plan will not pay out – these are shown on page 3 below.

How much does the plan cost?

You pay a premium every month by direct debit to keep your cover in force.

- **Plans which pay out on death only** – your monthly premium always stays the same.
- **Plans which include critical illness cover** – we can increase (or reduce) your monthly premium by any amount after each 5 yearly review. We will only increase your premium if our past claims experience and/or our expectation of future claims shows that we should apply a general premium increase. We will tell you if we do this. You can find full details of how we will review your plan and how we would apply any premium increase in section 5 of the policy. You can ask us for a copy of this.

The initial amount of your premium depends on your personal circumstances – for example, your age, sex, occupation and whether you smoke – the amount and type of cover you choose, and how long you decide you want the cover to last.

If you stop paying your monthly premiums, your cover will end 30 days after the due date of the last premium you paid. The plan has no cash-in value at any time.

How do I take out a plan?

You can take out a Term Assurance Plan by sending us a filled in application form.

- You must answer all the questions on the application form correctly to the best of your knowledge and belief. If you do not do this, it could mean your plan will not pay out.
- You must tell us if there is any change to your personal health, family history, occupation or residence, or if you take up any hazardous leisure activities, between signing the application form and when your plan starts. If you do not do this, it could mean your plan will not pay out.

Who can the plan cover?

You can apply for the plan to cover:

- you alone;
- you and another person; or
- one or two people not including you.

If the plan covers two people it can still only pay out once when either an insured person dies or has a valid critical illness claim during the period of cover, whichever is first – depending on the cover you choose.

Which critical illnesses are covered?

The complete list of conditions we cover is shown below:

- | | |
|-------------------------------------|--|
| • Alzheimer's disease before age 60 | • loss of limbs |
| • aorta graft surgery | • loss of speech |
| • benign brain tumour | • major organ transplant |
| • blindness | • motor neurone disease before age 60 |
| • cancer | • multiple sclerosis |
| • coma | • paralysis / paraplegia |
| • coronary artery by-pass surgery | • Parkinson's disease before age 60 |
| • deafness | • stroke |
| • heart attack | • terminal illness |
| • heart valve replacement or repair | • third degree burns |
| • HIV from a blood transfusion | • total permanent disability before age 60 |
| • kidney failure | |

Please remember that the heading of each critical illness is only a guide to what is covered. For example, some types of cancer are not covered. Further details of how we will consider your claim, including the full definitions we will use and the evidence we will need, are given in section 2 of the policy document. You can ask us for a sample copy of this.

Can children have critical illness cover?

If you choose critical illness cover, the children of each insured person also have critical illness cover, as long as the policy remains in force. The cover for each child starts when the child is three years old and ends when they become 18.

The most we will pay for a child being diagnosed with a critical illness is £10,000, and we will only pay one claim for each child.

If we pay a claim for a child being diagnosed with a critical illness, cover for that child will end. However, cover will continue for the insured person and their other children (if any).

How much does the plan pay out?

You decide how much you would like this plan to pay out. The higher the amount and the longer the period of cover you choose, the higher your monthly premium will be. The attached personal illustration shows the period of cover, the type and amount of cover you have chosen and your initial monthly premium.

Other than critical illness payments for children, the plan only pays out the main benefit once and then all cover ends.

When will the plan not pay out?

We will not pay a critical illness claim:

- If your plan is for critical illness cover only and you die within 28 days of meeting the definition of the critical illness.
- If your claim arises within three months of reinstating a plan that has previously ended.
- If the cause of the claim results from aviation, criminal acts, drug abuse, failure to follow medical advice, hazardous sports and pastimes, HIV/AIDS, self-inflicted injury or war and civil commotion.
- If the claim is for a total permanent disability from a cause that arose while the insured person was living abroad.
- If the claim is for a total permanent disability and you did not tell us about the insured person changing their occupation.
- If the claim is for a child diagnosed with a critical illness and:
 - the condition was present at birth;
 - the symptoms first arose before the child was covered; or
 - if the child dies within 28 days of meeting the definition of the critical illness.

We will not pay out on death as a result of an insured person committing suicide in the first year of the policy.

Full details of what is covered, and any limits to the cover are given in sections 2 and 4 respectively of the policy document. You can ask us for a sample copy of the policy document.

We may apply specific exclusions when we accept your policy. These will be shown in your acceptance letter and policy schedule.

What other options are available?

You can choose to include Waiver of Premium Benefit. This benefit pays your premiums if you are too ill to work for six months or more as a result of illness or injury. Full details of this extra benefit are given in section 6 of the policy document. You can ask us for a copy of this.

Your personal illustration shows whether Waiver of Premium Benefit is included in your plan and, if so, the cost.

After the plan starts, is there anything I need to do?

If your plan includes critical illness cover, you must tell us if you do any of the following or your plan will not pay out:

- Change your job. This could change your cover and your premium.
- Start living abroad. This could change your cover.

Further Information

Your cancellation rights

When we accept your application for the plan, we will send you a notice explaining your right to cancel. You will then have 30 days in which you can cancel the policy. If you do this, we will refund any premiums you have paid.

Making a claim

To make a claim, you should contact our Claims Department at:

ABC Life
Our Road
Any Town
County
AB1 2CD

Phone: 01234 56789

Complaints

If you have any complaint about this plan, or about any part of our service, contact our Customer Service Manager at:

ABC Life
Our Road
Any Town
County
AB1 2CD

Phone: 01234 56789

If you are not satisfied with the way we deal with your complaint, you can contact the Financial Ombudsman Service at:

South Quay Plaza
183 Marsh Wall
London E14 9SR

Phone: 020 7964 1000

Making a complaint will not affect your right to take legal action. You can ask us for details of our compensation arrangements.

Law

The Law of England applies to this plan.

The Financial Services Compensation Scheme (FSCS)

The plan is covered by the FSCS. You may be entitled to compensation from the scheme if we cannot meet our obligations. This depends on the type of business and the circumstances of the claim. You can get more details from us or from the Financial Services Authority.

Tax

The proceeds from this plan are free from UK income tax and capital gains tax. However, if we pay the proceeds after the death of an insured person, inheritance tax may be due on the benefit paid. You may be able to avoid inheritance tax by using an appropriate trust. Ask your financial adviser for more details.

The Government may change the tax position described above.

A Guide to Critical Illness Cover

The ABI (Association of British Insurers) give general information about critical illness cover in their booklet 'A Guide to Critical Illness Cover'. You can ask us for a copy or you can get a copy at www.abi.org.uk or by writing to:

The Association of British Insurers
51 Gresham St
London
EC2V 7HQ.

Please Note

This leaflet complies with the ABI Statement of Best Practice for Critical Illness Cover. It is a guide to our Term Assurance Plan and is based on our understanding of current laws and tax rules. Further details are given in the plan schedule and the policy document. You should get expert advice about the legal and tax information in this leaflet.

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ABC

The ABC Life Assurance Company

Key Features of the Term Assurance Plan

Its aims

The plan aims to do the following.

- To provide the amount of cover you choose.
- To provide cover for the period you choose (the period of cover).
- To provide the type of cover you choose. Your plan can pay out on one of the following:
 - **Death only** – pays out if an insured person dies during the period of cover; or
 - **Critical illness only** – pays out if an insured person meets the definition of a specified critical illness during the period of cover and then survives for at least 28 days; or
 - **Death or earlier critical illness** – pays out the main benefit once if an insured person dies or meets the definition of a specified critical illness during the period of cover.
- The full list of critical illnesses we cover is shown on page 2 overleaf. There are also some circumstances when the plan will not pay out – these are shown on page 3 below.

Your commitment

You must do the following.

- Answer all the questions on the application form correctly to the best of your knowledge and belief. If you do not do this, it could mean your plan will not pay out.
- Tell us if there is any change to your personal health, family history, occupation or residence, or if you take up any hazardous leisure activities, between signing the application form and when your plan starts. If you do not do this, it could mean your plan will not pay out.
- Pay the premium by direct debit every month during the period of cover. If your plan includes critical illness cover, we can increase (or reduce) your monthly premium by any amount every 5 years after a review. See below for more details about reviews.
- If you have critical illness cover, you must tell us if an insured person changes their occupation or starts living outside the UK. These changes could affect your cover and your premium.

Risk factors

The plan carries the following risks.

- If you stop paying your monthly premiums your cover will end 30 days after due date of the last premium you paid.
- If your plan includes critical illness cover, we can increase (or reduce) your monthly premium by any amount after each 5 yearly review. We will only increase your premium if our past claims experience and/or our expectation of future claims shows that we should apply a general premium increase. We will tell you if we do this. You can find full details of how we will review your plan and how we would apply any premium increase in section 5 of the policy. You can ask us for a copy of this.
- We will not pay out in the circumstances described under “When will the plan not pay out” on page 3.
- The plan has no cash-in value at any time.

How does the plan work?

You decide how much cover you want and which type of cover. Your plan can pay out on one of the following:

- **Death only** – pays out if an insured person dies during the period of cover; or
- **Critical illness only** – pays out if an insured person meets the definition of a specified critical illness during the period of cover and then survives for at least 28 days; or
- **Death or earlier critical illness** – pays out the main benefit once if an insured person dies or meets the definition of a specified critical illness during the period of cover.

You also decide how long you want the cover for. The period of cover can be any period from 5 to 25 years providing that the plan ends before you reach age 85 (age 65 for plans with critical illness cover).

How much does the plan cost?

You pay a premium every month by direct debit to keep your cover in force.

- **Plans which pay out on death only** – your monthly premium always stays the same.
- **Plans which include critical illness cover** – we can increase (or reduce) your monthly premium by any amount after each 5 yearly review. We will only increase your premium if our past claims experience and/or our expectation of future claims shows that we should apply a general premium increase. We will tell you if we do this. You can find full details of how we will review your plan and how we would apply any premium increase in section 5 of the policy. You can ask us for a copy of this.

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| • blindness | • motor neurone disease before age 60 |
| • cancer | • multiple sclerosis |
| • coma | • paralysis / paraplegia |
| • coronary artery by-pass surgery | • Parkinson's disease before age 60 |
| • deafness | • stroke |
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If we pay a claim for a child being diagnosed with a critical illness, cover for that child will end. However, cover will continue for the insured person and their other children (if any).

How much does the plan pay out?

You decide how much benefit you would like this plan to pay out. The higher the level of benefit, and the longer the period of cover, the higher your monthly premium will be. The attached personal illustration shows the period of cover, the type and amount of cover you have chosen and your initial monthly premium.

Other than critical illness payments for children, the plan only pays out the main benefit once and then all cover ends.

When will the plan not pay out?

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Phone: 01234 56789

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ABC Life
Our Road
Any Town
County
AB1 2CD

Phone: 01234 56789

If you are not satisfied with the way we deal with your complaint, you can contact the Financial Ombudsman Service at:

South Quay Plaza
183 Marsh Wall
London E14 9SR

Phone: 020 7964 1000

Making a complaint will not affect your right to take legal action. You can ask us for details of our compensation arrangements.

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